

STUDYHUB
CLASS 12 - MP BOARD
BOOK KEEPING & ACCOUNTANCY — SET 2
English Medium | Set 2

Time: 3 Hours	Maximum Marks: 80
Medium: English	Set: 2

Note: This is an original StudyHub practice paper based on the MPBSE syllabus and examination pattern. It is not an official MPBSE paper.

GENERAL INSTRUCTIONS

1. All questions are compulsory.
2. Questions 1 to 5 are objective-type questions.
3. Questions 6 to 15 carry 2 marks each.
4. Questions 16 to 19 carry 3 marks each.
5. Questions 20 to 23 carry 4 marks each.
6. Internal choices are provided from Question 6 to Question 23.
7. Show all necessary calculations and working notes.
8. There is no word limit for numerical questions.

SECTION - A

OBJECTIVE TYPE QUESTIONS

Q.1 Choose the correct option. 1×6=6

(i) If there is no partnership agreement, interest on capital is:

- A. Allowed at 6% p.a.
- B. Allowed at 5% p.a.
- C. Not allowed
- D. Allowed at 10% p.a.

(ii) Under the fixed capital method, drawings are recorded in:

- A. Capital Account
- B. Current Account
- C. Realisation Account
- D. Cash Account

(iii) When a new partner brings goodwill in cash and it is retained in the business, the amount is credited to:

- A. Cash Account
- B. Goodwill Account
- C. New Partner's Capital Account
- D. Old Partners' Capital Accounts

(iv) At the time of dissolution, an unrecorded asset when sold is credited to:

- A. Realisation Account
- B. Cash Account

- C. Capital Account
- D. Profit and Loss Account

(v) The amount received by a company against shares before allotment is called:

- A. Calls-in-arrears
- B. Calls-in-advance
- C. Share application money
- D. Securities premium

(vi) Which ratio measures the profitability of shareholders' investment?

- A. Current Ratio
- B. Debt-Equity Ratio
- C. Return on Investment
- D. Quick Ratio

Q.2 Fill in the blanks. 1×6=6

(i) The profit-sharing ratio of partners is normally mentioned in the _____ deed.

(ii) The account prepared for recording the distribution of accumulated profits and losses is called _____ Account.

(iii) On retirement, the retiring partner's share of goodwill is borne by the _____ partners in their gaining ratio.

(iv) Shares issued to employees under an employee stock option scheme are known as _____.

(v) The amount of a share which has been demanded but not received is called _____.

(vi) The ratio of liquid assets to current liabilities is known as the _____ Ratio.

Q.3 Write True or False. 1×6=6

(i) In the absence of an agreement, partners share profits and losses equally.

(ii) Interest on partner's loan is allowed even when the firm suffers a loss, subject to the partnership agreement/law.

(iii) On admission of a partner, the new partner is entitled to share the past profits of the firm.

(iv) A company has a separate legal identity from its members.

(v) Calls-in-advance is shown as a liability until the amount becomes due.

(vi) An increase in current liabilities, other things remaining constant, increases the current ratio.

Q.4 Match Column A with Column B. 1×7=7

Column A	Column B
(i) Interest on Drawings	(a) Liability of company
(ii) Memorandum Revaluation Account	(b) Charged to partner
(iii) Executor's Account	(c) Death of partner
(iv) Calls-in-Arrears	(d) Share amount not received
(v) Calls-in-Advance	(e) Amount received before call
(vi) Securities Premium	(f) Capital reserve-type balance
(vii) Cash from Investing Activities	(g) Purchase/sale of fixed assets

Q.5 Answer in one word/one sentence. 1×7=7

- (i) What is meant by Partnership at Will?
- (ii) What is the minimum number of persons required to form a partnership?
- (iii) What is the amount payable to a deceased partner called?
- (iv) What is the meaning of forfeiture of shares?
- (v) What is meant by redemption of preference shares?
- (vi) What does a higher Current Ratio generally indicate?
- (vii) Name the cash flow activity relating to purchase and sale of long-term assets.

SECTION - B

SHORT ANSWER QUESTIONS

2 Marks Each

Q.6

What is meant by interest on drawings? Why is it charged from a partner?

OR

State any two provisions applicable in the absence of a partnership deed.

Q.7

A and B are partners sharing profits in the ratio 3 : 2. C is admitted for $\frac{1}{4}$ share. C acquires $\frac{1}{6}$ of his share from A and the remaining share from B. Calculate the new profit-sharing ratio.

OR

P and Q share profits in the ratio 7 : 3. R is admitted for $\frac{1}{5}$ share, acquired wholly from P. Calculate the new ratio.

Q.8

What is meant by hidden goodwill? Give one example.

OR

State any two factors affecting the value of goodwill.

Q.9

What is meant by dissolution of partnership firm?

OR

State any two modes of dissolution of a firm.

Q.10

What is meant by authorised capital?

OR

Differentiate between authorised capital and issued capital.

Q.11

What are calls-in-arrears? How are they shown in the financial statements?

OR

What are calls-in-advance? How are they treated in accounting?

Q.12

What is meant by issue of debentures as collateral security?

OR

What is meant by debentures issued for consideration other than cash?

Q.13

What is meant by Common Size Statement? State its purpose.

OR

What is meant by Comparative Financial Statement?

Q.14

Calculate the Gross Profit Ratio:

Revenue from Operations = ₹5,00,000

Cost of Revenue from Operations = ₹3,50,000

OR

Calculate the Net Profit Ratio:

Net Profit = ₹90,000

Revenue from Operations = ₹6,00,000

Q.15

State any two objectives of Cash Flow Statement.

OR

Differentiate between cash flow from operating activities and financing activities.

SECTION - C

SHORT ANSWER / NUMERICAL QUESTIONS

3 Marks Each

Q.16

A and B are partners sharing profits equally. They admit C for $\frac{1}{3}$ share. C brings ₹60,000 as capital. The total capital of the firm after admission is agreed to be ₹1,80,000. Calculate the capitals of A and B after admission, assuming capitals are adjusted according to the new profit-sharing ratio.

OR

X and Y are partners sharing profits in the ratio 3 : 2. Their capitals are ₹90,000 and ₹60,000 respectively. Z is admitted for $\frac{1}{5}$ share and brings ₹50,000 as capital. Calculate the implied total capital of the firm on the basis of Z's capital.

Q.17

A, B and C are partners sharing profits in the ratio 2 : 3 : 5. C retires. The remaining partners decide to share future profits equally. Calculate the gaining ratio of A and B.

OR

P, Q and R are partners sharing profits in the ratio 4 : 3 : 2. P retires and Q and R decide to share future profits in the ratio 5 : 4. Calculate the gaining ratio.

Q.18

A company issued 6,000 equity shares of ₹10 each at a premium of ₹2 per share. The amount was payable ₹3 on application, ₹5 on allotment including premium and the balance on final call. All money was received. Pass the necessary journal entries.

OR

A company issued 5,000 equity shares of ₹10 each at par. ₹2 was payable on application, ₹4 on allotment and ₹4 on final call. All money was received. Pass the necessary journal entries.

Q.19

Calculate the following from the information given:

Revenue from Operations = ₹8,00,000

Gross Profit = ₹2,40,000

Operating Expenses = ₹1,20,000

Net Profit = ₹90,000

Calculate:

(i) Gross Profit Ratio

(ii) Operating Ratio

(iii) Net Profit Ratio

OR

Calculate:

Revenue from Operations = ₹10,00,000

Cost of Revenue from Operations = ₹6,00,000

Operating Expenses = ₹2,00,000

Net Profit = ₹1,50,000

Find Gross Profit Ratio, Operating Ratio and Net Profit Ratio.

SECTION - D

LONG ANSWER / NUMERICAL QUESTIONS

4 Marks Each

Q.20

A and B are partners sharing profits in the ratio 3 : 2. They admit C for $\frac{1}{5}$ share. C brings ₹40,000 as capital and ₹10,000 as goodwill. The new profit-sharing ratio is 2 : 2 : 1.

Pass the necessary journal entries for admission of C.

OR

M and N are partners sharing profits in the ratio 5 : 3. They admit O for $\frac{1}{4}$ share. O brings ₹80,000 as capital and ₹20,000 as goodwill in cash. Pass the necessary journal entries.

Q.21

A, B and C are partners sharing profits in the ratio 3 : 2 : 1. B retires. The goodwill of the firm is valued at ₹1,20,000. A and C decide to share future profits in the ratio 2 : 1.

Calculate:

- (i) New profit-sharing ratio
- (ii) Gaining ratio
- (iii) B's share of goodwill

OR

P, Q and R share profits in the ratio 5 : 3 : 2. Q retires. P and R decide to share future profits equally. Goodwill of the firm is valued at ₹90,000.

Calculate the new ratio, gaining ratio and Q's share of goodwill.

Q.22

A company issued 10,000 equity shares of ₹10 each at a premium of ₹2 per share. The amount was payable:

₹3 on application

₹4 on allotment, including premium

₹5 on first and final call

All shares were subscribed and all money was received.

Pass the necessary journal entries.

OR

A company issued 6,000 shares of ₹10 each at a discount of 5%. The full amount was payable on application. Pass the necessary journal entries.

Q.23

From the following information, calculate:

- (i) Current Ratio
- (ii) Quick Ratio
- (iii) Debt-Equity Ratio
- (iv) Working Capital

Current Assets = ₹5,00,000

Inventory = ₹1,50,000

Prepaid Expenses = ₹25,000

Current Liabilities = ₹2,50,000

Long-term Debt = ₹4,00,000

Shareholders' Funds = ₹8,00,000

OR

Calculate:

- (i) Current Ratio
- (ii) Quick Ratio

(iii) Debt-Equity Ratio

(iv) Working Capital

Given:

Current Assets = ₹4,50,000

Inventory = ₹1,00,000

Prepaid Expenses = ₹20,000

Current Liabilities = ₹1,50,000

Long-term Debt = ₹3,00,000

Shareholders' Funds = ₹6,00,000

MARKS VERIFICATION

Questions	Marks
Q.1	6
Q.2	6
Q.3	6
Q.4	7
Q.5	7
Q.6-Q.15	20
Q.16-Q.19	12
Q.20-Q.23	16
TOTAL	80

6 + 6 + 6 + 7 + 7 + 20 + 12 + 16 = 80 Marks

SHORT ANSWER KEY

Q.1: C, B, D, A, C, C

Q.2: Partnership; Profit & Loss Adjustment/Accumulated Profits & Losses; gaining; ESOP; calls-in-arrears; Quick/Liquid

Q.3: True, True, False, True, True, False

Q.4: (i)–(b)

(ii)–(d)

(iii)–(c)

(iv)–(d)

(v)–(e)

(vi)–(f)

(vii)–(g)

Q.5: Partnership at Will; 2; amount due to legal representative/executor; cancellation of shares; repayment of preference share capital; better short-term solvency; investing activities.

Q.14: Gross Profit Ratio = 30%; Net Profit Ratio = 15%

Q.19: First alternative: Gross Profit Ratio = 30%; Operating Ratio = 85%; Net Profit Ratio = 11.25%.

Q.23: First alternative: Current Ratio = 2:1; Quick Ratio = 1.3:1; Debt-Equity Ratio = 0.5:1; Working Capital = ₹2,50,000.

Note: For numerical questions, marks should be awarded for correct formula, working and final answer. Full solutions are not included.